

ASCII MASTER FLOW – PANEL 1/12: Urban constitutionalisation and the Article 243Q institutional map

URBAN GOVERNANCE PROBLEM

growth across wards and agencies -> services, planning, finance and democratic voice.

74TH AMENDMENT ACT, 1992

Part IXA + Twelfth Schedule -> constitutional municipal framework from 1 June 1993.

ARTICLE 243P DEFINITIONS

municipality | municipal area | ward | metropolitan area | population.

ARTICLE 243Q TYPES

transitional area -> Nagar Panchayat

smaller urban area -> Municipal Council

larger urban area -> Municipal Corporation.

INDUSTRIAL-TOWNSHIP PROVISIO

Governor may specify after considering municipal services supplied/proposed;

it is an exception, not the status of every industrial or census town.

MUST REMEMBER: Audit the Seventy-fourth Amendment, Part IXA Articles 243P-243ZG and Twelfth Schedule's 18 matters through municipal types, composition, reservation, duration, elections, powers, finance and planning committees.

ASCII MASTER FLOW – PANEL 2/12: Council, wards, reservation, tenure and State Election Commission

ARTICLE 243R

directly elected ward representatives; State law may add specified representation.

ARTICLE 243S

Ward Committees mandatory in municipalities with population $\geq$ three lakh.

State law fixes composition, area and additional committees.

ARTICLE 243T

SC/ST population-linked reservation + not less than one-third seats for women.

ARTICLE 243U

five-year duration; hearing before dissolution; timely re-election.

ARTICLE 243ZA

State Election Commission controls municipal rolls and elections.

LIMIT compulsory democratic form does not itself transfer functions, staff or finance.

ASCII MASTER FLOW – PANEL 3/12: Article 243W, Twelfth Schedule and measurable service devolution

ARTICLE 243W IS ENABLING

State law may endow municipalities with self-government and scheme functions.

TWELFTH SCHEDULE: 18 MATTERS

urban planning + land use + roads + water + public health/sanitation

-> fire services + urban forestry/environment

-> weaker sections/slums/poverty

-> amenities/culture + burials + cattle pounds

-> vital statistics + street lighting/parking/bus stops/public conveniences.

THREE-F TEST

function assigned? | staff controlled? | money predictable and discretionary?

SERVICE TEST

clear responsibility -> standard -> budget -> delivery -> grievance -> public audit.

ASCII MASTER FLOW – PANEL 4/12: Municipal finance: property tax, user charges, bonds and grants

ARTICLE 243X

State law may authorise taxes, duties, tolls, fees, assignments, grants and funds.

ARTICLE 243Y

the State Finance Commission reviews municipal and Panchayat finances.

OWN REVENUE

property tax -> complete register + fair valuation + billing + collection + appeal.

user charge -> service cost + affordability protection + transparent subsidy.

CAPITAL FINANCE

municipal bond -> accounts + revenue stream + disclosure + credit discipline.

pooled finance -> smaller bodies aggregate borrowing capacity.

GRANTS

equalisation and national priorities; tied money cannot replace local fiscal authority.

ASCII MASTER FLOW – PANEL 5/12: Mayor-commissioner relations, parastatals and mission SPVs

ELECTED COUNCIL / MAYOR

mandate -> priorities -> budget -> public answerability.

MUNICIPAL COMMISSIONER

State-law executive authority -> administration -> engineering/procurement continuity.

MODEL CAVEAT

mayor selection, tenure, executive power and commissioner control vary by State law.

PARASTATALS

water/transport/development authorities may add expertise and regional scale
but can fragment money, staff and accountability.

MISSION SPVs

project focus + professional delivery
must remain aligned with elected plans, transparent accounts and municipal ownership.

ANSWER TEST

who decides? who spends? who employs? who answers to voters?

ASCII MASTER FLOW – PANEL 6/12: DPC, MPC and government at the scale of the city-region

ARTICLE 243ZD: DISTRICT PLANNING COMMITTEE

Panchayat plans + municipal plans -> draft district development plan.

At least four-fifths elected by/from district Panchayat and municipal elected members.

ARTICLE 243ZE: METROPOLITAN PLANNING COMMITTEE

municipal + Panchayat plans -> metropolitan development plan.

At least two-thirds elected by/from municipal members and Panchayat chairpersons.

METROPOLITAN AREA

population ten lakh or more across one or more districts and local bodies.

PERI-URBAN CHOICE

Nagar Panchayat | merger | joint authority | phased transition.

LIMIT constitutional plan preparation needs alignment with agencies, budgets and land powers.

CLOSE DISTINCTION: Articles 243W and 243X are enabling: constitutional status does not itself transfer functions, staff or buoyant revenue. DPC four-fifths, MPC two-thirds, Ward Committee three-lakh threshold and SEC ownership must stay exact.

ASCII MASTER FLOW – PANEL 7/12: Citizen participation, accountability and bounded digital reform

DOWNWARD ACCOUNTABILITY

ward voice -> open budget -> service standard -> grievance redress
-> audit/report -> council correction -> electoral sanction.

FISCAL ACCOUNTABILITY

asset register + double-entry accounts + audit + public disclosure + procurement control.

DIGITAL / SMART TOOLS

GIS property base | online permissions/payments | dashboards | sensor data.

CAUTION

technology can expose performance and expand access
but cannot cure missing staff, fragmented authority or digital exclusion by itself.

REFORM

activity mapping + stronger wards + professional cadre + accountable executive
-> integrated planning + viable revenue + transparent service contracts.

ASCII MASTER FLOW – PANEL 8/12: Rural-urban comparison and local-government case-law controls

PANCHAYAT

Part IX / Eleventh 29

Gram Sabha

rural three-tier map

MUNICIPALITY

Part IXA / Twelfth 18

Ward Committee where Article 243S applies

transitional/smaller/larger urban forms.

COMMON

State-law devolution | SEC elections | SFC review | DPC linkage.

CASE CODE

Kishansing Tomar (2006) -> constitutional election timetable.

K. Krishna Murthy (2010) -> local reservation analysis.

Vikas Kishanrao Gawali (2021) -> OBC triple test.

State of Goa v. Fouziya Imtiaz Shaikh (2021) -> SEC independence.

TRAP census town != municipality | every industrial area != industrial township.

ARTICLE 243U

five-year term -> election before expiry or within six months after dissolution.

Short remainder below six months needs no election; new body serves the balance.

Reasonable hearing precedes dissolution.

243ZB -> President may adapt Part IXA for Union Territories.

243ZC -> Scheduled/tribal-area exclusion; Parliament may extend to Scheduled Areas.

243ZF -> inconsistent old laws at most one year; existing bodies protected to term.

243ZG -> delimitation/allotment bar; election petition is the prescribed route.

ASCII MASTER FLOW – PANEL 10/12: Planning composition, inputs and State forwarding

DISTRICT PLANNING COMMITTEE – ARTICLE 243ZD

at least four-fifths elected by/from district-Panchayat and municipal elected members

-> ratio follows rural and urban population -> consolidates local plans.

METROPOLITAN PLANNING COMMITTEE – ARTICLE 243ZE

at least two-thirds elected by/from municipal members and Panchayat chairpersons

-> ratio follows municipal and Panchayat population -> prepares metropolitan plan.

COMMON INPUTS

spatial planning | shared water/resources | infrastructure | environment | likely resources.

Chairperson forwards the recommended draft development plan to State Government.

ASCII MASTER FLOW – PANEL 11/12: Dated finance evidence and exam compression

DATED OFFICIAL CONTROLS – CHECKED 28 AUGUST 2026

RBI Municipal Finances 2022 -> property-tax potential and administration gaps.

FC-XVI 2026-31 -> RLB:ULB 60:40 after special components; basic:performance 80:20.

AMRUT 2.0 -> water security + property tax + user charges + accounts/capacity.

SEBI municipal-debt framework -> bonds are regulated borrowing, not tax revenue.

ANSWER COMPRESSION

10 marks -> Article pair + functional gap + fiscal gap + verdict.

15 marks -> design + three Fs + planning + current evidence + qualification.

20 marks -> evolution + city-region institutions + finance + executive design + reforms.

LIMIT report ratios are dated recommendations; release status needs current verification.

ASCII MASTER FLOW – PANEL 12/12: Urban reform, Prelims traps, PYQ spine and qualified synthesis

CORE DIAGNOSIS

constitutional existence and elections

without assured functions, metropolitan coordination, staff control or buoyant revenue.

REFORM LADDER

State activity map -> empowered wards -> stable elected leadership

-> professional administration -> property/user-charge reform

-> accountable bonds/grants -> agency-plan convergence -> public audit.

PRELIMS FIREWALL

243Q types | 243S three-lakh Ward Committee threshold

| DPC four-fifths | MPC two-thirds | metropolitan population ten lakh

| SEC, not ECI | Twelfth Schedule does not transfer automatically.

MAINS SPINE

constitutional design -> operational gap -> finance/governance mechanism

-> city-region evidence -> State-law caveat -> democratic functionality verdict.

LEGAL/SOURCE LIMIT: Use XVI Finance Commission 2026-31, AMRUT 2.0 and the SEBI municipal-debt framework only as dated evidence. SEBI's 2015 regulations were amended on 8 July 2026; bonds are regulated borrowing, not tax devolution.